Methodology and Assumptions

We valued P&G using a five-year Discounted Cash Flow (DCF) model based on Free Cash Flow to the Firm (FCFF). We used financial data from FY2024–FY2026 to forecast cash flows for FY2027–FY2031.

Revenue growth was predicted to increase from 2.0% (in 2027) to 3.0% (in 2031), while the operating margin was assumed to improve from 23.0% to 23.5%. We applied a 21% tax rate, depreciation and amortization of 3.5% of revenue, and gradually declining capital expenditures as a percentage of revenue. Net working capital was calculated using its FY2026 revenue ratio.

A WACC of 6.53% was estimated using CAPM, a historical equity beta of 0.3843 calculated from 60 monthly returns, a 5.10% risk-free rate, and a 4.20% equity risk premium. An AA-rated corporate bond yield of 5.67% was used as a proxy for the cost of debt. A terminal growth rate of 2.5% was assumed. Terminal value was calculated using the Gordon Growth Model and discounted to present value as part of enterprise valuation.

DCF Valuation Results and Sensitivity Analysis

Our DCF model estimates P&G's intrinsic value at $154.72 per share. Compared to the market price of $159.35 on October 16, 2026, this implies a potential downside of approximately 2.9%.

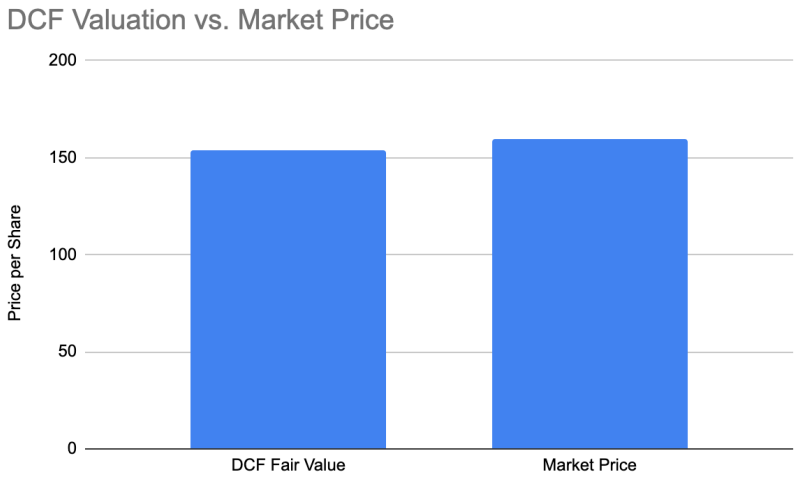


Figure 1: DCF Fair Value vs. Market Price (USD per Share)

Table 1: Sensitivity Analysis – Estimated Share Value (USD)

WACC / Terminal Growth	1,50%	2,00%	2,50%	3,00%	3,50%
5,53%	160,73	181,67	209,53	248,43	306,54
6,03%	141,68	157,69	178,24	205,58	243,75
6,53%	126,43	139,01	154,72	174,89	201,72
7,03%	113,94	124,05	136,40	151,82	171,62
7,53%	103,52	111,80	121,73	133,86	148,99

Sensitivity analysis demonstrates that the valuation is highly dependent on WACC and terminal growth assumptions. Across the tested scenarios, estimated share values range from $103.52 to $306.54. This wide range shows the risk of the long-term valuation assumptions.

Under our base-case assumptions, P&G appears slightly overvalued relative to its reference market price.

Table 2: Reverse DCF Assumptions and Results

	Value
Market Share Price (USD)	159,35
WACC	6,53%
Terminal Growth Rate (g)	2,5%
Estimated Diluted Shares (millions)	2412,659
Net Debt (USD millions)	24196
Noncontrolling Interest (USD millions)	230
Reverse DCF Implied Annual Revenue Growth	3,1942%

Reverse DCF and Conclusion

We conducted the Reverse DCF analysis to determine the annual revenue growth rate implied by P&G's market price of $159.35. This exceeds the analyst revenue growth estimates of 1.77% for FY2027 and 2.78% for FY2028, the comparison shows that the market-implied growth assumption is relatively optimistic. Holding the other valuation assumptions constant, the model implies an annual revenue growth rate of 3.1942% over FY2027–FY2031. Therefore, our DCF analysis suggests that P&G may be overvalued.

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Methodology note: The valuation uses the October 16, 2026 reference share price. The beta is estimated from 60 monthly returns (October 2021–September 2026), using adjusted PG and SPY prices. Treasury and corporate bond yields are taken from October 15, 2026. The 4.20% equity risk premium is from October 1, 2026. The analyst estimates are subsequent benchmarks rather than verified forecasts available on the valuation date. Estimated diluted shares combine FY2026 year-end common shares outstanding with FY2026 average dilution effects.